

## Cash Flow Surplus

The cash flow surplus ratio is based on the going concern concept and assumes that companies will normally grow and will therefore incur capital expenditure and that there would be an increase in its net working capital. As such, a company's ability to pay its debt should be determined only after providing for increases in its capital expenditure and net working capital. Cash flow is net income plus non cash charges, i.e. depreciation, etc. less capital expenditure and increases in net working investments. The ratio is calculated by dividing the cash flow surplus by the total debt.

$$\text{Cash flow surplus} = \frac{\text{Cash flow surplus}}{\text{Total average debt}}$$

### *Illustration*

In its latest financial year, the average debt of Culture Ltd. was Rs. 400 crore. Its internally generated funds were Rs. 40 crore. Its net working investments had increased by Rs. 10 crore and the company had incurred capital expenditure of Rs. 20 crore.

$$\text{Cash flow surplus} = \frac{40 - 10 - 20}{400} = 0.025$$

It would take the company 40 years to repay its debts by utilizing its cash flow surplus.

This ratio is often negative. This is because when a company grows rapidly its purchases assets of a capital nature and its net working investments also increase and this increase is usually more than its internally generated funds. This is usually funded by loans or short-term bank facilities.